When Two Countries Fight — India Pays the Price

A plain-language analysis of how the Iran–USA conflict hit your wallet, the stock market, and India's economy

January 2025 – March 2026 | Data from MySQL | Visualised in Power BI

The Big Numbers — At a Glance

Before we get into the details, here are the most important numbers from this project. These 3 things happened because of the conflict:

🛢️	**+78.5%**	Crude oil became almost double in price. This is the root cause of everything else.
💸	**₹93.88**	The rupee fell to its worst-ever value against the US dollar. ₹93.88 for just 1 dollar.
📉	**-19%**	Nifty 50 (India's main stock market index) crashed 19%. Crores of investor money wiped out.

1. What Is This Project About?

In simple words: Iran and the USA had a serious political fight. When two big countries fight, the whole world gets affected — especially countries like India that depend on them for oil.

🤔 **Why does India care about Iran and USA fighting?**
Because India buys most of its oil from the Middle East. When there is war or tension there, oil supply gets disrupted, prices shoot up, and India — which imports 85% of its oil — takes a big hit.

This Power BI dashboard was built to answer one simple question:

"How badly did this conflict hurt India — and in exactly what ways?"

The project collected data from January 2025 to March 2026 and tracked 6 things: oil prices, rupee value, stock market, inflation, trade (exports vs imports), and how individual industries were affected.

2. What Data Was Used?

Think of this like 7 different Excel sheets — each one tracking one piece of the puzzle. Here is what each one recorded:

- Oil Prices Sheet — tracked how much crude oil cost globally (in USD) and how much petrol cost in India (in ₹) every day
- Exchange Rate Sheet — tracked how many rupees you needed to buy 1 US dollar each day
- Stock Market Sheet — tracked the Nifty 50 index, Sensex, and gold prices every day
- Inflation Sheet — tracked how much prices went up for everyday goods (food, fuel, etc.)
- Trade Sheet — tracked how much India exported (sold to the world) vs imported (bought from the world) each month
- Sector Impact Sheet — tracked which industries were getting hit the hardest and by how much
- Conflict Events Sheet — logged each major event in the Iran–USA conflict and rated how serious it was

💡 **Why does this matter?**
By looking at all 7 sheets together, you can see the chain reaction: conflict happens → oil price jumps → rupee weakens → inflation rises → markets crash → businesses suffer. This project makes that chain visible.

3. What the Dashboard Shows

The Power BI report has 3 pages. Here is what each page shows:

Page 1 — The Cover (Summary Page)

This is the first thing you see. It shows the 3 big headline numbers — oil spike (+78.5%), rupee low (₹93.88), and Nifty crash (-19%) — so you immediately understand how serious the situation was. You can then click to go deeper.

Page 2 — Prices and Markets

This page shows you the financial damage using charts:

- A line chart showing how crude oil prices climbed month by month
- How India's petrol pump prices followed the same upward path
- How gold prices shot up (people buy gold when they are scared about the economy)
- How the rupee kept falling against the dollar
- How the Nifty and Sensex indices dropped during the worst conflict periods

Page 3 — Trade and Industries

This page shows the damage to businesses and trade:

- A comparison of how much India exported vs imported — the gap (deficit) kept growing
- Which industries got hit worst — aviation, manufacturing, logistics, finance

- A timeline of conflict events, so you can see exactly which event caused which market reaction

4. What the Data Is Telling Us — The Real Story

Here is the story that the data tells, in plain language:

Chapter 1: It All Started with Oil

Oil prices jumped by 78.5%. That sounds like just a number, but think about what oil is used for — petrol for your car, diesel for trucks that carry food and goods, fuel for flights, and raw material for plastics and chemicals. When oil gets expensive, EVERYTHING gets expensive.

Chapter 2: The Rupee Took a Beating

India had to spend more dollars to buy expensive oil. But we did not have unlimited dollars. So the demand for dollars went up, and the rupee weakened. At its worst, you needed ₹93.88 to buy just 1 US dollar. That is the worst it has ever been. This made imports even more expensive — a double blow.

Chapter 3: The Stock Market Panicked

Big foreign investors (called FIIs — Foreign Institutional Investors) started pulling their money out of India and putting it in safer places. When they sell their Indian stocks, prices fall. The Nifty 50 fell 19%. That means if you had ₹1,00,000 invested in the stock market, it became ₹81,000. Meanwhile, smart investors moved to gold, which is why gold prices rose.

Chapter 4: Prices of Everyday Things Went Up

This is called inflation. The most visible was fuel inflation — petrol and diesel got much more expensive. But it did not stop there. The trucks that carry vegetables, milk, and groceries to your city also use diesel. So the cost of transporting food went up, and shopkeepers passed that cost on to you. The overall CPI (Consumer Price Index — a measure of how expensive life is) rose significantly.

Chapter 5: India Was Buying More Than It Was Selling

India's trade deficit (the difference between what we import and what we export) got bigger. We were importing expensive oil, paying more for it, but not earning enough from exports to balance it out. This is bad for the economy because it means money keeps flowing out of the country.

Chapter 6: Some Industries Got Hit Much Harder Than Others

Not every industry suffered equally. Here is who got hurt the most and who managed better:

Industry	What Happened	Severity
✈️ Aviation	Flight fuel (ATF) became very expensive. Flights got cancelled, fares shot up.	🔴 **Very High**
🚚 Logistics	Diesel costs rose. Truck operators raised freight rates. Everything got costlier to move.	🟠 **High**
🏭 Manufacturing	Energy-heavy factories saw their electricity and fuel costs rise sharply, cutting profits.	🟠 **High**
🏦 Finance / Markets	Foreign investors pulled out. Nifty and Sensex fell. People panicked and moved to gold.	🔴 **Very High**

5. Conclusion — What Does It All Mean?

📌 **The one-line summary:**
When Iran and the USA fought, oil got expensive, the rupee crashed, the stock market fell, prices of everyday things went up, and Indian businesses struggled — all within just over a year.

Here is the chain reaction explained simply:

War/Conflict → Oil Price Spikes → Import Bill Gets Huge → Rupee Weakens → Inflation Rises → Businesses Struggle → Stock Market Crashes → Common People Suffer

This is exactly what India experienced between January 2025 and March 2026. The dashboard built in Power BI makes this story visible through charts and numbers — so anyone can see the damage clearly, not just economists.

6. What Can India Do About It?

Now that we know the problem, here are the solutions — explained simply, no jargon:

Solution 1: Stop relying on just one region for oil

Right now India buys most of its oil from the Middle East. If that region has problems, India suffers. The fix: buy oil from more countries — Russia, USA, Brazil, Canada — so no single conflict can hurt us this badly.

Solution 2: Build a bigger oil emergency stockpile

Imagine having enough petrol stored that if supply stops tomorrow, India can survive for 30 days. Right now we can only last about 9 days. Building bigger storage tanks and filling them when oil is cheap is a smart buffer against future crises.

Solution 3: Switch to solar and electric — faster

Every electric vehicle on the road needs zero petrol. Every solar panel on a roof reduces the electricity generated from oil. The more India shifts to renewable energy, the less we are at the mercy of oil prices. The government has targets — they need to be hit faster.

Solution 4: Protect the rupee better

The Reserve Bank of India (RBI) can use its dollar reserves to buy rupees when the currency is falling too fast. This slows down the crash. Also, big companies that import a lot of oil should be made to 'hedge' — basically buy insurance against currency swings so they are not caught off guard.

Solution 5: Support the industries that got hit most

Airlines, truck operators, and factories cannot control oil prices. The government should consider temporary relief — fuel subsidies, cheaper loans, or lower taxes on fuel during crisis periods — so these businesses do not shut down and lay off workers.

Solution 6: Build a live warning system

This is actually what this Power BI project is doing! Imagine government officials having a real-time dashboard showing: oil prices, rupee rate, FII flows, and sector stress — all in one screen. If the numbers start turning red, the government can act early instead of reacting after the damage is done.

Solution 7: Sell more to the world — not just buy

A weak rupee is actually good for exporters — Indian goods become cheaper for foreign buyers. The government should help Indian companies take advantage of this by reducing export taxes and promoting Indian products in new markets like Europe and Southeast Asia.

Made by Heet Ketan Rathod | Tools: Power BI + MySQL Workbench | Jan 2025 – Mar 2026